

STATE OF NEW YORK

10667--A

IN SENATE

July 24, 2026

Introduced by Sen. COONEY -- read twice and ordered printed, and when printed to be committed to the Committee on Rules -- committee discharged, bill amended, ordered reprinted as amended and recommitted to said committee

AN ACT to amend the public service law, in relation to establishing a presumption that certain refunds received by public utility companies shall be passed on to ratepayers

The People of the State of New York, represented in Senate and Assembly, do enact as follows:

1 Section 1. Subdivision 2 of section 113 of the public service law, as
2 added by chapter 530 of the laws of 1977, is amended to read as follows:

3 2. (a) Whenever any public utility company [~~or municipality~~], whose
4 rates are subject to the jurisdiction of the commission, shall receive
5 any refund of amounts charged and collected from it by any source, the
6 commission shall have power after a hearing, upon its own motion, upon
7 complaint or upon the application of such public utility company [~~or~~
8 ~~municipality~~], to determine [~~whether or not such refund should be passed~~
9 ~~on, in whole or in part, to the consumers of such public utility company~~
10 ~~or municipality and to order such public utility company or municipality~~
11 ~~to pass such refunds on to its consumers, in the manner and to the~~
12 ~~extent determined just and reasonable by the commission]~~ the portion of
13 such refund attributable to costs, taxes, fees, charges, or other
14 amounts previously recovered from ratepayers through rates, charges, or
15 other cost recovery mechanisms authorized or approved by the commission,
16 and to determine the just and reasonable disposition of any remaining
17 portion of such refund.

18 (b) There shall be a rebuttable presumption that the portion of a
19 refund determined pursuant to paragraph (a) of this subdivision to be
20 attributable to amounts previously recovered from ratepayers shall be
21 passed on to such ratepayers, less any costs permitted by the commission
22 pursuant to paragraph (f) of this subdivision.

23 (c) The commission shall order such public utility companies to pass
24 such portion of the refund on, to the extent practicable, to the rate-
25 payers who bore the costs giving rise to the refund. Where distribution

EXPLANATION--Matter in italics (underscored) is new; matter in brackets
[~~-~~] is old law to be omitted.

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1 to such ratepayers is impracticable, the commission shall direct such
2 portion to the appropriate class or classes of ratepayers through a just
3 and reasonable method of distribution. Such method may include bill
4 credits, direct refunds, reductions in future rates, or another method
5 that provides a direct and equitable benefit to affected ratepayers.

6 (d) The presumption established pursuant to paragraph (b) of this
7 subdivision may be rebutted only upon a demonstration by the public
8 utility company, and a finding by the commission, that:

9 (i) direct distribution to affected ratepayers is impracticable and
10 such alternative disposition will provide such ratepayers with a reason-
11 ably equivalent or greater benefit; or

12 (ii) an alternative disposition is necessary to prevent imminent and
13 material impairment of the provision of safe and adequate utility
14 service. Any alternative disposition authorized pursuant to this subpar-
15 agraph shall be limited to the amount necessary to prevent such impair-
16 ment and shall be used solely for that purpose.

17 (e) No portion of a refund attributable to amounts previously recover-
18 ed from ratepayers shall be retained as earnings or profit or other-
19 wise used for the direct or indirect benefit of shareholders.

20 (f) Costs incurred by a public utility company to identify, pursue, or
21 obtain a refund shall not reduce the amount passed on to ratepayers
22 unless the public utility company demonstrates, and the commission
23 finds, that such costs were reasonable, documented, prudently incurred,
24 and directly necessary to obtain the refund. The commission shall not
25 permit the deduction of costs attributable to a failure by the public
26 utility company to maintain adequate internal controls, exercise reason-
27 able care, or comply with applicable legal, accounting, or regulatory
28 requirements.

29 (g) Any order authorizing an alternative disposition pursuant to para-
30 graph (d) of this subdivision or permitting the deduction of costs
31 pursuant to paragraph (f) of this subdivision shall set forth specific
32 findings identifying the amount and source of the refund, the portion
33 attributable to amounts previously recovered from ratepayers, any costs
34 permitted to be deducted, the method by which affected ratepayers will
35 receive the benefit of the refund, and the reasons for any departure
36 from the presumption established pursuant to paragraph (b) of this
37 subdivision.

38 (h) Where a municipality or county is required to make payment of a
39 refund subject to this subdivision, the commission may, upon application
40 by the municipality or county and upon a finding that immediate payment
41 would impose an undue fiscal hardship or require an unbudgeted expendi-
42 ture that would materially impair the municipality's or county's fiscal
43 stability or ability to provide essential governmental services, author-
44 ize such municipality or county to satisfy its refund obligation pursu-
45 ant to a payment schedule not to exceed two years. In approving any such
46 payment schedule, the commission shall consider the interests of
47 affected ratepayers, the municipality's or county's financial condition,
48 and the need to ensure timely payment of the refund. Any order issued
49 pursuant to this paragraph shall establish the amount and timing of
50 installment payments and may include such terms and conditions as the
51 commission deems just and reasonable.

52 (i) Notwithstanding any payment schedule authorized pursuant to para-
53 graph (h) of this subdivision, the department of taxation and finance
54 shall make payment of the refund to the public utility company imme-
55 diately upon such refund becoming due. A municipality or county subject
56 to such refund shall remain responsible for reimbursing the department

1 of taxation and finance for the full amount of such payment in accord-
2 ance with any payment schedule authorized pursuant to paragraph (h) of
3 this subdivision.

4 § 2. This act shall take effect immediately.